

NOTES

forming part of the consolidated financial statements

36. Employee benefits (Contd.)

member benefits to the fullest extent possible after allowing for any expenses necessary to wind up the Scheme. The Deed of Amendment means that there is no longer an ability for TSUK to access any of the surplus of the Scheme. In accordance with IAS 19 an 'asset ceiling' has been applied to reflect the fact that TSUK does not have an unconditional right to a refund from the Scheme and therefore any of the ₹100.36 crore of remaining assets which are not required for the Scheme's expenses will not be returned to the Company.

(e) Other defined benefits

Other benefits provided under unfunded schemes include pension payable to directors on their retirement, farewell gifts, post-retirement lumpsum benefit and reimbursement of packing and transportation charges to the employees based on their last drawn salary.

The defined benefit plans expose the Group to a number of actuarial risks as below:

- (i) Investment risk:** The present value of the defined benefit plan liability is calculated using a discount rate determined by reference to government/high quality bond yields. If the return on plan asset is below this rate, it will create a plan deficit.

- (ii) Interest risk:** A decrease in the bond interest rate will increase the plan liability. However, this will be partially offset by an increase in the value of plan's debt investments.
- (iii) Salary risk:** The present value of the defined benefit plan liability is calculated by reference to the future salaries of plan participants. As such, an increase in salary of the plan participants will increase the plan's liability.
- (iv) Longevity risk:** The present value of the defined benefit plan liability is calculated by reference to the best estimate of the mortality of plan participants both during and after their employment. An increase in the life expectancy of the plan participants will increase the plan's liability.
- (v) Inflation risk:** Some of the Group's Pension obligations are linked to inflation, and higher inflation will lead to higher liabilities although, in most cases, caps on the level of inflationary increases are in place to protect the plan against extreme inflation.

NOTES

forming part of the consolidated financial statements

36. Employee benefits (Contd.)

Details of defined benefit obligations and plan assets:

(a) Retiring gratuity:

(i) The following table sets out the amounts recognised in the consolidated financial statements in respect of retiring gratuity:

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
Change in defined benefit obligations:		
Obligation at the beginning of the year	3,825.99	3,670.33
Additions relating to acquisitions	19.72	-
Current service cost	252.14	209.83
Past service cost	89.73	-
Interest expense	229.89	230.41
Benefits paid	(413.06)	(472.91)
Remeasurement (gain)/loss	(594.03)	187.29
Obligations of companies disposed off	(0.19)	-
Exchange difference on consolidation	11.15	-
Other re-classification	37.62	1.04
Obligations at the end of the year	3,458.96	3,825.99

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
Change in plan assets:		
Fair value of plan assets at the beginning of the year	3,434.93	3,200.76
Additions relating to acquisitions	17.00	-
Interest income	222.06	222.12
Remeasurement gain/(loss) excluding the amount included within employee benefit expense	(46.97)	68.19
Employer's contribution	236.52	413.64
Benefits paid	(411.02)	(469.78)
Fair value of the plan assets at the end of the year	3,452.52	3,434.93

Amounts recognised in the consolidated balance sheet consist of:

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
Fair value of plan assets	3,452.52	3,434.93
Present value of obligations	3,458.96	3,825.99
	(6.44)	(391.06)
Recognised as:		
Retirement benefit assets - Non-current	70.52	-
Retirement benefit assets - Current	-	2.33
Retirement benefit obligations - Non-current	(67.07)	(385.29)
Retirement benefit obligations - Current	(9.89)	(8.10)
	(6.44)	(391.06)

NOTES

forming part of the consolidated financial statements

36. Employee benefits (Contd.)

Expense/(gain) recognised in the consolidated statement of profit and loss consists of:

	Year ended March 31, 2026	Year ended March 31, 2025
(₹ crore)		
Employee benefits expense:		
Current service cost	252.14	209.83
Net interest expense	7.83	8.29
Past service cost	4.94	-
	264.91	218.12
Exceptional Items:		
Past service cost	84.79	-
Other comprehensive income:		
Return on plan assets excluding amount included in employee interest expense	46.97	(68.19)
Actuarial (gain)/loss arising from changes in demographic assumptions	(0.14)	0.79
Actuarial (gain)/loss arising from changes in financial assumptions	(512.47)	121.08
Actuarial (gain)/loss arising from changes in experience adjustments	(81.42)	65.42
	(547.06)	119.10
Expense/(gain) recognised in the consolidated statement of profit and loss	(197.36)	337.22

(ii) Fair value of plan assets by category of investments is as below

	As at March 31, 2026	As at March 31, 2025
Asset category (%)		
Quoted		
Equity instruments	6.43	5.02
Debt instruments	54.32	48.03
	60.75	53.05
Unquoted:		
Cash and cash equivalents	0.72	-
Insurance products	32.13	37.48
Others	6.40	9.47
	39.25	46.95
	100.00	100.00

The Group's investment policy is driven by considerations of maximising returns while ensuring credit quality of debt instruments. The asset allocation for plan assets is determined based on prescribed investment criteria and is also subject to other exposure limitations. The Group evaluates the risks, transaction costs and liquidity for potential investments. To measure plan assets performance, the Group compares actual returns for each asset category with published benchmarks.

NOTES

forming part of the consolidated financial statements

36. Employee benefits (Contd.)

(iii) Key assumptions used in the measurement of retiring gratuity is as below:

	As at March 31, 2026	As at March 31, 2025
Discount rate	6.80%-7.52%	6.60%-7.00%
Rate of escalation in the salary	5.50%-10.00%	7.00%-10.50%

(iv) Weighted average duration of the retiring gratuity obligation ranges between **6 to 22** years (March 31, 2025: 6 to 18 years).

(v) The Group expects to contribute **₹76.96** crore to the plan during the financial year 2026-27.

(vi) The table below outlines the effect of retiring gratuity obligation in the event of a decrease/increase of 1% in the assumptions used.

As at March 31, 2026

Assumption	Change in assumption	Impact on obligation
Discount rate	Increase by 1%, decrease by 1%	Decrease by ₹292.72 crore, increase by ₹344.77 crore
Rate of escalation in salary	Increase by 1%, decrease by 1%	Increase by ₹325.93 crore, decrease by ₹280.66 crore

As at March 31, 2025

Assumption	Change in assumption	Impact on obligation
Discount rate	Increase by 1%, decrease by 1%	Decrease by ₹289.04 crore, increase by ₹346.15 crore
Rate of escalation in salary	Increase by 1%, decrease by 1%	Increase by ₹331.90 crore, decrease by ₹283.26 crore

The above sensitivities may not be representative of the actual change as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

(b) Tata Steel Europe's Pension Plan

(i) The following table sets out the amounts recognised in the consolidated financial statements in respect of Tata Steel Europe's pension plans.

	Year ended March 31, 2026	Year ended March 31, 2025
(₹ crore)		
Change in defined benefit obligations:		
Obligation at the beginning of the year	61,729.60	63,916.99
Current service cost	66.78	95.94
Past service cost	(0.27)	0.31
Interest expense	3,597.58	3,066.88
Employees' contributions	6.21	5.16
Remeasurement (gain)/loss	(1,057.82)	(3,272.87)
Settlements	(61,621.75)	-
Benefits paid	(5,217.21)	(5,096.35)
Exchange difference on consolidation	4,305.47	3,013.54
Obligations at the end of the year	1,808.59	61,729.60

NOTES

forming part of the consolidated financial statements

36. Employee benefits (Contd.)

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
Change in plan assets:		
Fair value of plan assets at the beginning of the year	61,099.38	63,270.66
Interest income	3,578.26	3,079.04
Remeasurement gain/(loss)	(1,180.20)	(3,684.65)
Employer's contribution	9.19	8.20
Employee's contribution	6.21	5.16
Settlements	(61,621.75)	-
Benefits paid	(5,186.10)	(5,055.83)
Effect of asset ceiling	200.51	473.78
Exchange difference on consolidation	4,205.27	3,003.02
Fair value of the plan assets at the end of the year	1,110.77	61,099.38

Amounts recognised in the consolidated balance sheet consist of:

	(₹ crore)	
	As at March 31, 2026	As at March 31, 2025
Fair value of plan assets	1,110.77	61,099.38
Present value of obligations	1,808.59	61,729.60
	(697.82)	(630.22)
Recognised as:		
Retirement benefit assets - Non-current	15.86	12.67
Retirement benefit obligations - Non-current	(710.79)	(622.42)
Retirement benefit obligations - Current	(2.89)	(20.47)
	(697.82)	(630.22)

Expense/(gain) recognised in the consolidated statement of profit and loss consists of:

	(₹ crore)	
	Year ended March 31, 2026	Year ended March 31, 2025
Employee Benefit expense:		
Current service cost	66.78	95.94
Past service cost	(0.27)	0.31
Net interest expense/(income)	19.32	(12.16)
Effect of asset ceiling	11.79	32.30
	97.62	116.39
Other comprehensive income:		
Return on plan assets excluding amounts included in net interest expense	1,180.20	3,684.65
Effect of asset ceiling	(212.30)	(506.08)
Actuarial (gain)/loss arising from changes in financial assumptions	(1,425.38)	1,783.56
Actuarial (gain)/loss arising from changes in experience adjustments	367.56	(5,056.43)
	(89.92)	(94.30)
Expense/(gain) recognised in the consolidated statement of profit and loss:	7.70	22.09

NOTES

forming part of the consolidated financial statements

36. Employee benefits (Contd.)

(ii) Fair value of plan assets by category of investments is as below:

	As at March 31, 2026	As at March 31, 2025
Asset category (%)		
Quoted:		
(a) Equity- Non-UK entities		0.30
(b) Equity instruments	18.48	-
(c) Bonds-Fixed rate	-	2.63
(d) Debt instruments	68.71	-
	87.19	2.93
Unquoted:		
(a) Property	6.87	-
(b) Insurance products	-	95.34
(c) Others	5.94	1.73
	12.81	97.07
	100.00	100.00

(iii) Key assumptions used in the measurement of pension benefits is as below:

	As at March 31, 2026		As at March 31, 2025	
	BSPS	Others	BSPS	Others
Discount rate	3.9%-6.02%	1.10%-5.52%	5.72%	1.10-5.40%
Rate of escalation in salary	NA	1.50% - 3.00%	NA	1.50 - 3.00%
Inflation rate	1.8%-3.04%	0.95%-3.00%	2.82%	1.00-3.00%

Demographic assumptions are set having regard to the latest trends in life expectancy, plan experience and other relevant data, including externally published actuarial information within each national jurisdiction. The base table assumption is reviewed and updated as necessary as part of the periodic actuarial funding valuations of the individual pension and post-retirement plans. For the BSPS the liability calculations as at March 31, 2026 use the Self-Administered Pension Schemes 3 (SAPS 3) base tables, S3PMA_M/S3PFA/S3DFA with the 2020 CMI projections with a **1.25%** p.a. (2024-25: 1.25% p.a.) long-term trend applied from 2013 to 2021 (adjusted by a multiplier of **1.03** p.a. (2024-25: 1.03 p.a.) for males, **1.03** p.a. (2024-25: 1.03 p.a.) for females and **1.04** p.a. for female dependents (2024-25: 1.04 p.a.). The future mortality improvements assumptions are typically updated with each release of an updated model. Future mortality improvements from 2021 onwards are allowed for in line with the 2022 CMI Projections with a long-term improvement trend of **1%** (2025: 1%) per annum, a smoothing parameter of 7.0 (2024-25: 7.0) and a 25% allowance for adopting the w2022 parameter for excess deaths in the UK in the COVID-19 affected years. This indicates that today's 65 year old male member is expected to live on average to approximately **86** years (2024-25: 86 years) of age and a male member reaching age 65 in 15 years' time is then expected to live on average to **86** years (2024-25: 86) of age.

(iv) Weighted average duration of the pension obligations is **Nil** (March 31, 2025: 10 years).

(v) The Group expects to contribute **Nil** to the plan during the financial year 2026-27.

(vi) The table below outlines the effect on pension obligations in the event of a decrease/increase of the following assumptions used.

NOTES

forming part of the consolidated financial statements

36. Employee benefits (Contd.)

As at March 31, 2026

Assumption	Change in assumption	Impact on obligation
Discount rate	Increase by 50 bps, decrease by 50 bps	Decrease by 4.6%, increase by 4.6%
Rate of escalation in salary	Increase by 100 bps, decrease by 100 bps	Not applicable as pensionable earnings is capped
Inflation rate	Increase by 50 bps, decrease by 50 bps	Increase by 2%, decrease by 2%
Mortality rate	One year increase/decrease in life expectancy	Increase by 2.4%, decrease by 2.4%

As at March 31, 2025

Assumption	Change in assumption	Impact on obligation
Discount rate	Increase by 50 bps, decrease by 50 bps	Decrease by 4.8%, increase by 4.8%
Rate of escalation in salary	Increase by 100 bps, decrease by 100 bps	Not applicable as pensionable earnings is capped
Inflation rate	Increase by 50 bps, decrease by 50 bps	Increase by 2.1%, decrease by 2.1%
Mortality rate	One year increase/decrease in life expectancy	Increase by 2.4%, decrease by 2.4%

The above sensitivities may not be representative of the actual change as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

(c) Post-retirement medical and other defined benefit plans

- (i) The following table sets out the amounts recognised in the consolidated financial statements in respect of post-retirement medical and other defined benefit plans.

	Year ended March 31, 2026		Year ended March 31, 2025	
	Medical	Others	Medical	Others
Change in defined benefit obligations:				
Obligation at the beginning of the year	1,854.58	513.94	1,733.93	467.12
Current service cost	47.79	37.96	46.32	61.18
Past service cost	-	(0.37)	-	1.43
Interest expense	119.38	25.00	118.04	25.69
Remeasurement (gain)/loss				
(i) Actuarial (gain)/loss arising from changes in demographic assumptions	-	4.72	0.31	(3.15)
(ii) Actuarial (gain)/loss arising from changes in financial assumptions	(143.43)	(19.82)	119.69	13.81
(iii) Actuarial (gain)/loss arising from changes in experience adjustments	363.11	(10.36)	(83.09)	1.70
Benefits paid	(91.72)	(59.35)	(80.62)	(70.20)
Exchange differences on consolidation	-	17.03	-	16.36
Other reclassifications	-	(37.48)	-	-
Obligation at the end of the year	2,149.71	471.27	1,854.58	513.94

(₹ crore)

NOTES

forming part of the consolidated financial statements

36. Employee benefits (Contd.)

Amounts recognised in the consolidated balance sheet consist of:

(₹ crore)

	As at March 31, 2026		As at March 31, 2025	
	Medical	Others	Medical	Others
Present value of the obligation	2,149.71	471.27	1,854.58	513.94
Recognised as:				
Retirement benefit obligations- Current	107.55	28.30	96.49	29.56
Retirement benefit obligations- Non-current	2,042.16	442.97	1,758.09	484.38
	2,149.71	471.27	1,854.58	513.94

Expense/(gain) recognised in the consolidated statement of profit and loss consists of:

(₹ crore)

	Year ended March 31, 2026		Year ended March 31, 2025	
	Medical	Others	Medical	Others
Employee benefits expense:				
Current service cost	47.79	37.96	46.32	61.18
Past service cost	-	(0.37)	-	1.43
Interest expense	119.38	25.00	118.04	25.69
	167.17	62.59	164.36	88.30
Other comprehensive income:				
Actuarial (gain)/loss arising from changes in demographic assumptions	-	4.72	0.31	(3.15)
Actuarial (gain)/loss arising from changes in financial assumptions	(143.43)	(19.82)	119.69	13.81
Actuarial (gain)/loss arising from changes in experience adjustments	363.11	(10.36)	(83.09)	1.70
	219.68	(25.46)	36.91	12.36
Expense/(gain) recognised in the consolidated statement of profit and loss	386.85	37.13	201.27	100.66

(ii) Key assumptions used in the measurement of post-retirement medical and other defined benefits is as below:

	As at March 31, 2026		As at March 31, 2025	
	Medical	Others	Medical	Others
Discount rate	6.6%-7.00%	2.88%-7.4%	6.60%	2.54%-6.70%
Rate of escalation in salary	N.A	4.00%-12.00%	N.A	5.00%-12.00%
Inflation rate	8.00%	5.00%	8.00%	5.00%

(iii) Weighted average duration of post-retirement medical benefit obligations ranges between **8 to 23** years (March 31, 2025: 7 to 24 years).

Weighted average duration of other defined benefit obligations ranges between **2.4 to 18** years (March 31, 2025: 2.25 to 18.89 years).

NOTES

forming part of the consolidated financial statements

36. Employee benefits (Contd.)

- (iv) The table below outlines the effect on post-retirement medical benefit obligations in the event of a decrease/increase of 1% in the assumptions used:

As at March 31, 2026

Assumption	Change in assumption	Impact on obligation
Discount rate	Increase by 1%, decrease by 1%	Decrease by ₹299.87 crore, increase by ₹389.62 crore
Medical cost inflation rate	Increase by 1%, decrease by 1%	Increase by ₹361.86 crore, decrease by ₹284.81 crore

As at March 31, 2025

Assumption	Change in assumption	Impact on obligation
Discount rate	Increase by 1%, decrease by 1%	Decrease by ₹263.80 crore, increase by ₹345.68 crore
Medical cost inflation rate	Increase by 1%, decrease by 1%	Increase by ₹319.09 crore, decrease by ₹249.32 crore

- (v) The table below outlines the effect on other defined benefit obligations in the event of a decrease/increase of 1% in the assumptions used:

As at March 31, 2026

Assumption	Change in assumption	Impact on obligation
Discount rate	Increase by 1%, decrease by 1%	Decrease by ₹36.76 crore, increase by ₹42.64 crore
Rate of escalation in salary	Increase by 1%, decrease by 1%	Increase by ₹19.25 crore, decrease by ₹5.25 crore
Inflation rate	Increase by 1%, decrease by 1%	Increase by ₹9.50 crore, decrease by ₹8.26 crore

As at March 31, 2025

Assumption	Change in assumption	Impact on obligation
Discount rate	Increase by 1%, decrease by 1%	Decrease by ₹35.45 crore, increase by ₹41.16 crore
Rate of escalation in salary	Increase by 1%, decrease by 1%	Increase by ₹13.02 crore, decrease by ₹11.76 crore
Inflation rate	Increase by 1%, decrease by 1%	Increase by ₹14.32 crore, decrease by ₹12.49 crore

The above sensitivities may not be representative of the actual change as it is unlikely that the change in assumptions would occur in isolation of one another as some of the assumptions may be correlated.

NOTES

forming part of the consolidated financial statements

37. Contingencies and commitments

A. Contingencies

In the ordinary course of business, the Group faces claims and assertions by various parties. The Group assesses such claims and assertions and monitors the legal environment on an on-going basis with the assistance of external legal counsel, wherever necessary. The Group records a liability for any claims where a potential loss is probable and capable of being estimated and discloses such matters in its financial statements, if material. For potential losses that are considered possible, but not probable, the Group provides disclosure in the financial statements but does not record a liability in its financial statements unless the loss becomes probable.

The following is a description of claims and assertions where a potential loss is possible, but not probable. The Group believes that none of the contingencies described below would have a material adverse effect on the Group's financial condition, results of operations or cash flows.

It is not practicable for the Group to estimate the timings of the cash outflows, if any, pending resolution of the respective proceedings. The Group does not expect any reimbursements in respect of the same.

Litigations

The Group is involved in legal proceedings, as defendant. There are claims which the Group does not believe to be of a material nature, other than those described below:

Income tax

The Group has ongoing disputes with income tax authorities relating to tax treatment of certain items. These mainly include disallowance of expenses and tax treatment of certain expenses claimed by the Company as deduction.

Most of these disputes and/or disallowances, being repetitive in nature, have been raised by the income tax authorities consistently in most of the years.

As at March 31, 2026, there are matters and/or disputes pending in appeal amounting to **₹4,002.36** crore (March 31, 2025: ₹4,117.40 crore) which includes **₹4.50** crore (March 31, 2025: ₹8.17 crore) in respect of equity accounted investees.

The details of significant demands are as below:

- (a) interest expenditure on loans taken by the Company for acquisition of a subsidiary has been disallowed in assessments with tax demand raised for **₹1,459.55** crore (inclusive of interest) (March 31, 2025: ₹1,521.87 crore).
- (b) interest expenditure on "Hybrid Perpetual Securities" has been disallowed in assessments with tax demand raised for **₹394.89** crore (inclusive of interest) (March 31, 2025: ₹379.69 crore).
- (c) The Company, through its wholly owned subsidiary Bamnival Steel Limited, acquired erstwhile Bhushan Steel Limited (subsequently renamed as Tata Steel BSL Limited (TSBSL), now merged with the Company) through the resolution process of the Insolvency and Bankruptcy Code, 2016. Following this acquisition, a debt of ₹25,185.51 crore was waived in favour of erstwhile TSBSL by Bamnival Steel Limited. The waiver of loan has been deemed as taxable in the hands of TSBSL under a reassessment order for FY2018-19. In the same reassessment order, the Company has received a tax demand of **₹594.80** crore (March 31, 2025: ₹594.80 crore) on account of withdrawal of earlier refund granted. The Company has filed writ petition before the Hon'ble High Court of Bombay challenging the reassessment. Matter was heard and decided in favour of the Company vide order dated August 12, 2025.

Finance Act 2025 has, however, made a retrospective amendment pertaining to the ground based on which the Company had received a favourable order. Basis the amendment, the matter may be revived and would then again be argued before the High Court on other grounds challenging the validity of the proceedings.

In respect of above demands, the Company has deposited an amount of **₹1,372.62** crore (March 31, 2025: ₹1,343.80 crore) as a precondition for obtaining stay. The Company expects to sustain its position on ultimate resolution of the said appeals.

Customs, excise duty, service tax and goods and service tax

As at March 31, 2026, there were pending litigations for various matters relating to customs, excise duty, service tax and GST involving demands of **₹610.47** crore